

CAFIA

Center for Africa Financial Inclusion and Advancement

The State of Micro, Small and Medium Enterprises Inclusion in Sierra Leone:

*A Survey of Businesses Across Commercial Corridors in Western Area
Urban and Rural*

Sierra Leone | 2026

Prepared by

Center for Africa Financial Inclusion and Advancement (CAFIA)

Freetown, Sierra Leone

CAFIA Policy Report Vol.1 (2026)



Executive Summary

This report presents the results of CAFIA's first survey of financial inclusion among micro, small and medium enterprises (MSMEs (predominantly micro)) in Freetown's main commercial corridors with the majority of businesses falling within the micro-enterprise segment. The survey was conducted in 2026 following a pilot exercise and enumerator training. A total of 529 businesses were interviewed, and after data quality checks, 495 were retained for analysis. The survey captured 119 variables covering business characteristics, financial behaviour, and digital financial usage. The findings provide the first structured baseline of where MSMEs (predominantly micro) are in Western area (Urban and Rural) main commercial corridor, and where the gaps remain.

529

**Field Surveys
Collected**
Prior to cleaning

495

**Clean Analytical
Dataset**
Used throughout this report

3,314

Businesses Mapped
GPS-tagged enumeration

119

Variables
per Respondent

61.7

**Mean CAFIA Index
Score**
Out of 100

Key Findings

- 1. Access to digital finance is widespread but active usage remains limited.*
- 2. Mobile money functions mainly as a payment receipt channel, not a full business tool.*
- 3. Market table businesses represent the most financially excluded segment.*

Freetown's MSME ecosystem shows meaningful progress in digital financial access. But access has moved faster than usage. The following findings characterize the current state of the market. All percentages are based on 495 surveyed businesses unless otherwise stated.

Access and Account Ownership

- 87.3% of businesses are registered in some form, with municipal registration being the most common (77.6%). NRA tax registration accounts for 30.9%, while 5.7% are registered with the Corporate Affairs Commission, reflecting the stepwise nature of formalization in urban informal economies.
- 63.6% hold at least one financial account. Personal bank accounts (37.8%) are more common than business accounts (31.5%). Only 16.8% hold a formal mobile money account, although many use personal wallets for business transactions.

- 36.4% of active business operators remain entirely unbanked. The most commonly cited barriers are minimum balance requirements (51.1%) and preference for cash (40.0%), of unbanked, N=180.

Digital Payments

- 52.5% accept digital payments, mostly through personal mobile money wallets rather than dedicated business accounts. Adoption varies widely by sector: personal services lead (71.4%), while restaurants lag (18.2%).
- 64.0% report unreliable network connectivity. Network failures and transaction errors often push businesses back to cash.

Mobile Money Usage Patterns

- Mobile money is mainly used to receive customer payments (51.9%) and for personal transactions (58.4%). Active business use is limited, 3.6% pay suppliers digitally and 1.0% pay workers digitally. Only 7.5% use mobile money for savings, while 21.4% do not use it.

Financial Management and Literacy

- Financial literacy is relatively strong: 82.8% correctly calculated profit and 68.9% correctly calculated savings months from standard test scenarios. However, practice lags behind knowledge with 42.0% keep business records and 57.2% separate business and personal finances, revealing a gap between knowledge and practice.
- 82.0% did not apply for formal credit in the past year. Most chose not to. The most frequently cited reasons are high interest rates, slow or uncertain sales making repayment timing unclear, and fear of social embarrassment from default.
- Microfinance institutions account for 38.2% of credit applications among applicants, but overall trust in MFI lending terms remains low. Factors include perceived high rates and pressure tactics.

Digital Readiness

- 90.7% own smartphones; 65.9% can use a mobile application; 63.2% expressed willingness to share digital data in exchange for improved credit access (54.7% definitely, 8.5% probably yes, 12.7% possibly depending on conditions).

Policy Implications

These findings suggest that the priority in Freetown's MSME ecosystem should be on building a stronger culture of digital adoption. Access is already widespread. What is missing is consistent, transaction-based use. The focus now should be activating demand, through practical products, incentives, and targeted financial education that move businesses from occasional digital access to routine digital transactions in daily operations.

Three areas require immediate attention:

- Account access and minimum balance reform: Minimum balance requirements are the main barrier for the 36.4% of businesses that remain unbanked. Zero- or low-balance business accounts with simplified KYC could directly reduce this exclusion.
- Interest rate environment and real sector credit flow: High borrowing costs are the main reason businesses choose not to apply for formal credit. Policies that improve credit affordability, including risk-sharing arrangements between banks and MFIs, are needed to expand access to productive financing.
- Targeted support for market table operators: Market table businesses, mostly women-owned, score 12.3 CAFIA Index points below shops. Their constraints are layered. Single interventions will not be enough. Bundled support combining account access, merchant digitization, and basic financial management tools is more likely to work.

About CAFIA

The Center for Africa Financial Inclusion and Advancement (CAFIA) is a Pan-African solutions platform advancing financial inclusion, digital finance, and MSME development across Africa. It combines research, policy, innovation, and sustainable financing to strengthen enterprise resilience and expand access to finance. This report is CAFIA's first flagship publication and establishes a replicable baseline for measuring MSME financial integration in Sierra Leone.

1. Survey Objectives and Approach

The 2022 World Bank Sierra Leone Economic Update called for a coordinated national approach to expanding access to finance for MSME and the systematic expansion of data collection on MSMEs and SME finance from government agencies and financial institutions. This report responds directly to that call, presenting the first structured, large-scale baseline of digital financial inclusion among businesses in Freetown's commercial corridors.

The study focuses on four questions to guide this evidence base:

1

How do MSMEs (predominantly micro) manage money and conduct financial transactions in daily operations?

2

What is the level of access to and use of digital financial services among businesses in Freetown's commercial corridors?

3

What financial management practices, behaviors, and literacy levels shape business financial decisions?

4

What constraints limit deeper financial integration, including access to accounts, credit, and digital financial tools?

Together, these questions provide a structured view of how MSMEs operate financially, how they use digital finance, and what barriers limit deeper financial integration.

The survey covered active businesses across Freetown's main commercial corridors, including the Central Business District, key eastern and western trading areas, and in main western rural trading zones. To ensure balanced representation across areas with different levels of business activity, the sample was stratified at the street level. Each street was treated as a unit, and businesses were selected proportionally using R to minimize selection bias based on the number of businesses within each street. After enumerator training, a pilot was conducted before full deployment using KoboCollect.

Enumerators were assigned to specific commercial streets grouped into field zones. Within each street, a complete listing and GPS mapping of all visible businesses was conducted to establish the survey population. A total of 529 surveys were completed; after data quality checks, 495 were retained for analysis. The final sample represents approximately 15% of the mapped business population. With a sample size of 495, the survey provides a margin of error of approximately 4% at a 95% confidence level, indicating a strong level of statistical reliability for

the analysis. Average interviews lasted about 14 minutes. Where results refer to sub-samples, the relevant N is indicated. Random back-checks were conducted to verify responses. Retail and distributive sectors formed the main focus of the survey.

The analysis is based on 495 businesses after data quality checks. The survey covers active businesses within selected commercial corridors in Freetown and is not nationally representative. Findings should therefore be interpreted as indicative of urban MSME dynamics, particularly within retail and distributive trade, rather than the entire country.

The dataset includes both formal and informal businesses and reflects observed behaviour within the surveyed areas.

This report adopts an MSME classification framework informed by international standards from the International Finance Corporation and International Labour Organization, which classify enterprises based on employment, turnover, and assets, and consistent with the regulatory framework of the Ministry of Trade and Industry Sierra Leone, operationalized using observed revenue and employment patterns in the CAFIA dataset.

2. Business Profile

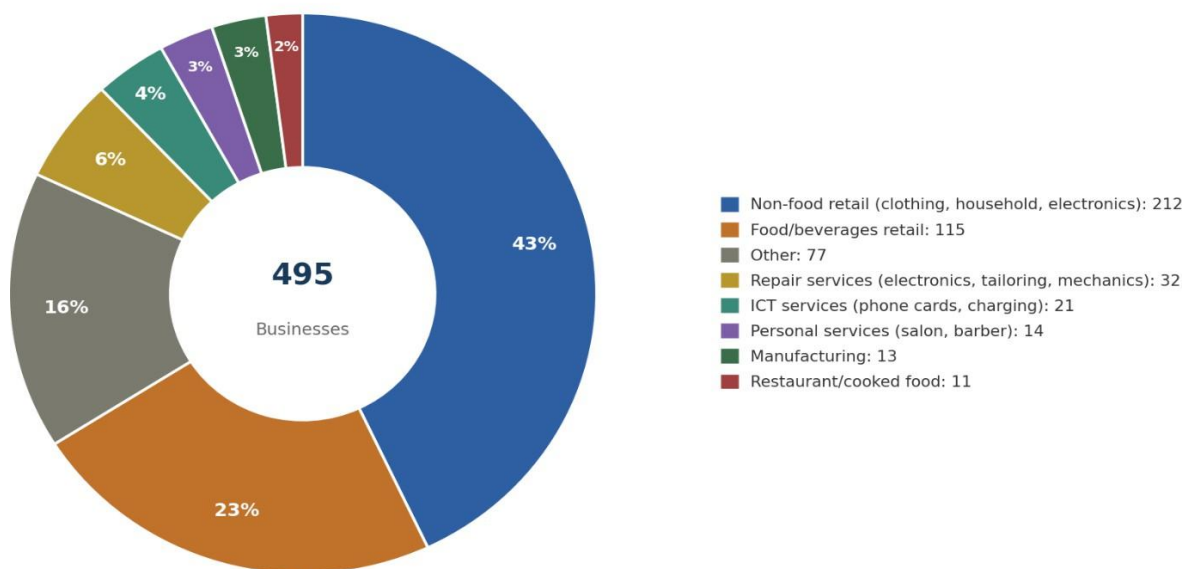
Market Population: Business Structure - Listing Population (N = 3,314)

Category	Segment	Count	Share
Business Type	Shop / Store	2,211	66.7%
	Table / Umbrella Stand (informal)	893	26.9%
	Kiosk / Container	210	6.3%
Activity	Retail	2,860	86.3%
	Services	439	13.2%
	Light Manufacturing	15	0.5%
Owner Gender	Male	1,864	56.2%
	Female	1,444	43.6%

Survey Sample - Business Activity Breakdown (N = 495)

Figure 1: Business Sector Distribution

Business Sector Distribution (N=495)



Monthly Revenue Distribution



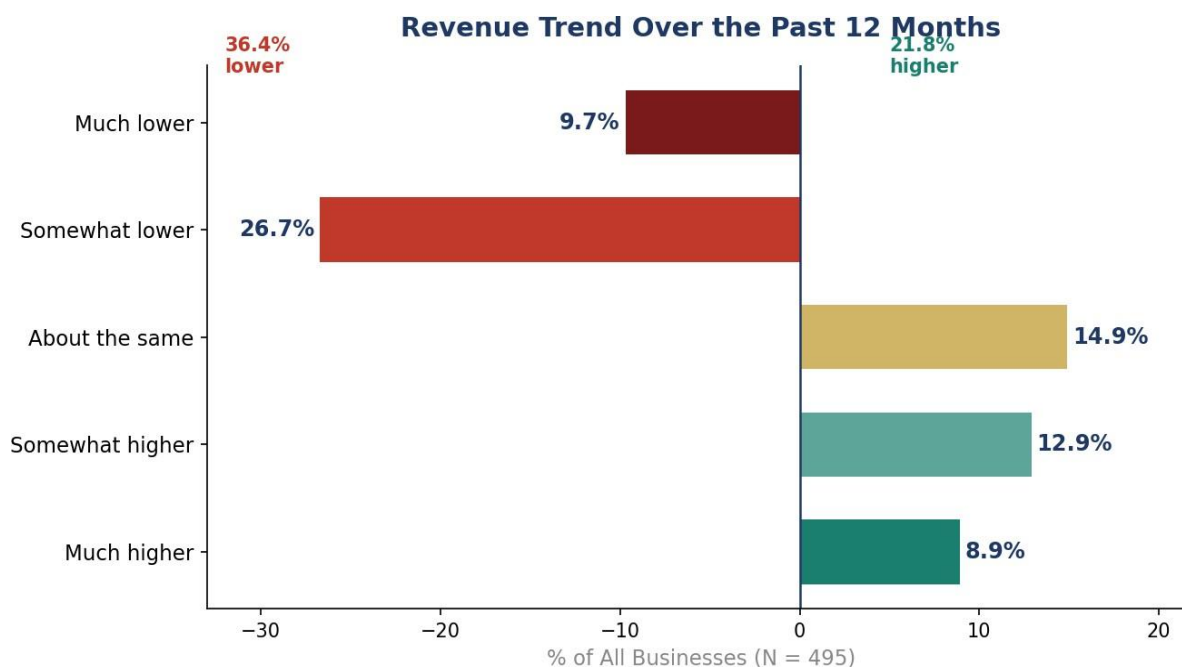
Among businesses that provided revenue data, 56.5% report monthly earnings below SLe 5,000.00 (approximately USD 230 at the survey period exchange rate).

Monthly Revenue Bracket (SLL)	Count	% of All Businesses
Less than Le 1,000.00	44	8.9%
Le 1,000.00 – 2,000.00	89	18.0%
Le 2,000.00 – 5,000.00	75	15.2%
Le 5,000.00 – 10,000.00	39	7.9%
More than Le 10,000.00	35	7.2%
Don't know / varies too much	86	17.4%
Not reported / missing	127	25.4%

Revenue Trends

36.4% of businesses report lower revenues over the past 12 months, while 21.8% report growth and 14.9% report stable performance.

Figure 2: Revenue change over the past 12 months prior to survey period



3. Business Registration, Integration, and Gender Dimensions

Business Registration Status



Registration Pathways (Among 432 Registered Businesses)

Registration Type	Count	% of All Surveyed
Municipal Council registration	384	77.6%
National Revenue Authority	153	30.9%
Trade / sector union	53	10.7%
Corporate Commission	28	5.7%

Note: Businesses may hold multiple registration types simultaneously.

Registration Rate by Business Setup Type

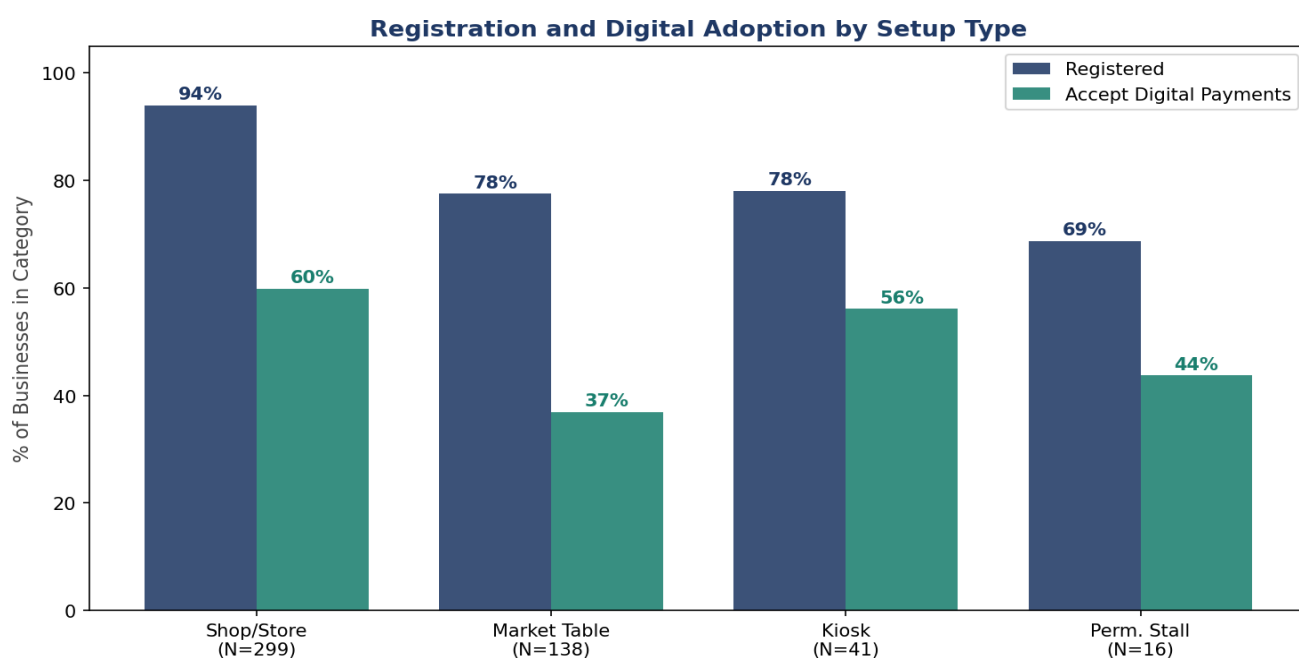
Setup Type	Registered	Total	Registration Rate
Shop / Store	281	299	94.0%
Kiosk / Container	32	41	78.0%
Market Table / Umbrella Stand	107	138	77.5%
Permanent Market Stall	11	16	68.8%

Employment Structure

Workers per Business	Count	% of Surveyed
Solo operator (owner only)	185	37.4%
2–3 people	240	48.5%
4–5 people	48	9.7%
More than 5 people	22	4.4%

85.9% of businesses employ fewer than 4 people. **35.8%** have at least one paid employee (mean paid employees: 1.22), while **64.2%** operate with zero paid staff, relying on unpaid family or owner labour.

Figure 3: Business Profile by Type: Registration vs. Digital Payments.



Gender of Business Owner by Setup Type (Listing Data - N = 3,314)

Business Type	Count	Male Owner (%)	Female Owner (%)
Shop	2,211	63.9%	36.1%
Table	893	38.1%	61.9%
Kiosk	210	63.4%	36.6%

Targeting principle for interventions

Targeting by business setup type rather than gender alone enables more precise and cost-effective interventions. For example, banks introducing low- or zero-balance accounts could reach more underserved businesses by focusing on market table operators through trader associations and market networks, rather than broadly targeting women-owned businesses.

4. Financial Inclusion: Accounts & Savings

Account Ownership by Type



Approximately 63.6% of surveyed businesses hold at least one financial account, while 36.4% remain fully unbanked; a business is classified as unbanked only if it explicitly reported holding no account of any kind, regardless of account type.

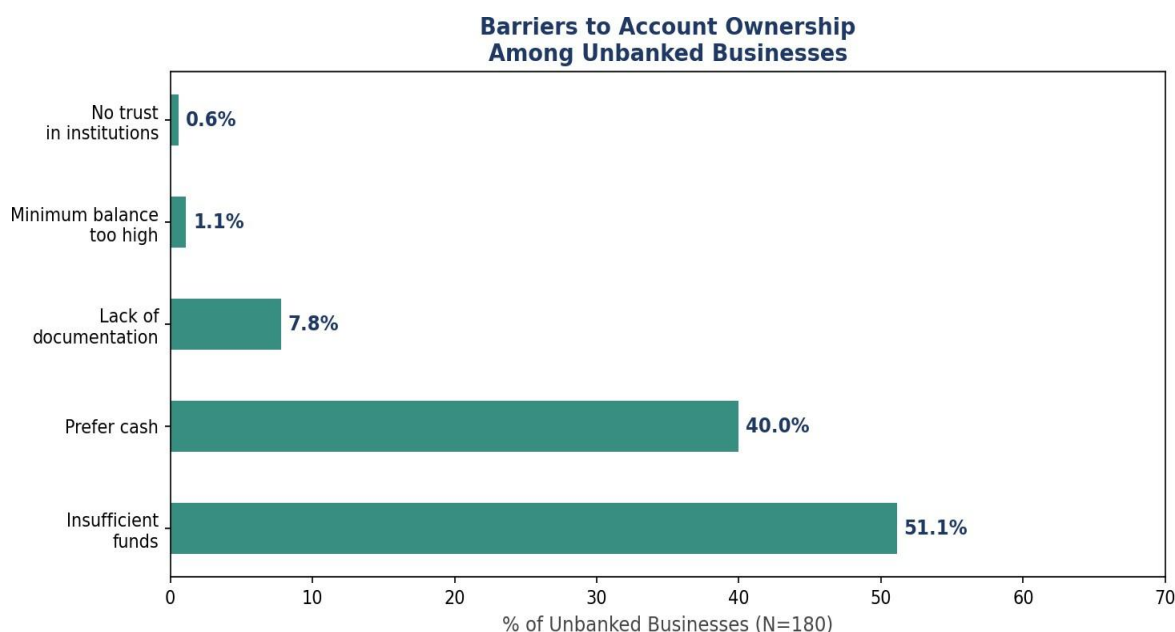
Account Type	Count	% of All Businesses
Personal bank account	187	37.8%
Business bank account	156	31.5%
Mobile money (MM) business account	83	16.8%
Cooperative / credit union	11	2.2%
Microfinance institution (MFI)	0	0.0%
No account	180	36.4%

Contextualizing Account Ownership

The 63.6% account ownership rate among surveyed businesses exceeds Sierra Leone's 32% national adult rate (World Bank Global Findex 2024), reflecting the urban and commercially active sample. However, 36.4% remain unbanked, showing financial exclusion persists among active urban MSMEs.

Barriers to Account Ownership

Figure 4: Barriers to account ownership among unbanked businesses.



5. Digital Payment Adoption

21.4% Do Not Use Mobile Money	51.9% Use MM to Receive Payments	52.5% Accept Digital Payments
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Overall Adoption Rate

52.5% of businesses accept digital payments, mostly via mobile money. However, while 51.9% receive mobile money payments, only 16.8% have registered business mobile money accounts. Many transactions occur through personal wallets, making them harder to link to business performance and limiting their usefulness for credit assessment.

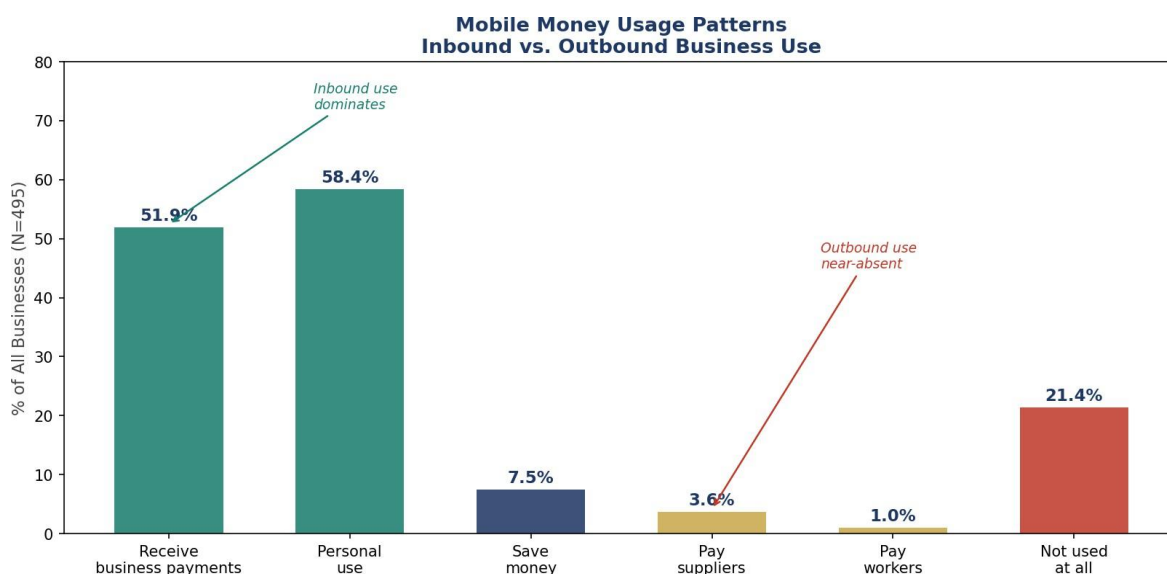
Mobile Money Usage Patterns

Mobile Money Use Case	Count	% of All Businesses
Personal use (not business)	289	58.4%
Receive customer payments (mostly personal account)	257	51.9%
Save business money	37	7.5%
Pay suppliers for stock	18	3.6%
Pay workers / employees	5	1.0%
Access micro-loans (Instant Cash)	1	0.2%
Do not use mobile money	106	21.4%

Mobile Money is more Inbound Rail and Less Business Tool

Mobile money is widely used to receive payments but rarely used for business expenses.

Figure 5: Mobile money usage by purpose.



Reason Businesses don't Accept Digital Payments

Reason	Count	% of Cash-Only
Prefer cash	102	43.4%
Fear of fraud or mistakes	79	33.6%
Customers don't ask for digital payments	28	11.9%
Don't have phone/account	12	5.1%
Don't know how to use digital payments	6	2.6%
Charges / fees too high	1	0.4%
Not authorized to accept digital payments	1	0.4%

Insight for Payment Providers: Trust Is the Barrier, Not Infrastructure

Cash preference and fear of fraud are the main reasons businesses avoid digital payments, not lack of phones or accounts. This suggests the challenge is trust and behavior, requiring merchant education and fraud protection more than new infrastructure.

Digital Payment Adoption by Sector

Business Sector	Accept Digital	Total	Adoption Rate
Personal services (salon, barber)	10	14	71.4%
Manufacturing (tailoring, furniture, food proc.)	9	13	69.2%
ICT services (phone cards, charging)	13	21	61.9%
Non-food retail (clothing, household, electronics)	129	212	60.8%
Repair services (electronics, tailoring, mechanics)	16	32	50.0%
Food & beverages retail	39	115	33.9%
Restaurant / cooked food	2	11	18.2%

Priority for Payment Providers

Food retail and restaurants have the highest customer traffic (10+ customers/day median) but the lowest digital payment adoption. Converting these sectors would drive the largest increase in digital transaction volumes due to their high transaction frequency and volume.

Digital Adoption Trend

Adoption Timing	% of Digital Adopters
More than 12 months ago	53.4%
6 – 12 months ago	24.1%
Less than 6 months ago	22.1%
Don't remember	0.4%

46.2% of digital users adopted it in the past 12 months, showing significant growth. Because payment habits form quickly after adoption, providers have a limited window to engage these merchants before usage patterns become fixed.

Network Reliability: Infrastructure Risk

Network Quality	All Businesses	% of All	Digital Adopters	% of Digital
Always reliable	178	36.0%	96	36.9%
Sometimes unreliable	264	53.3%	134	51.5%
Often unreliable	53	10.7%	30	11.5%

Systemic Risk for the Digital Payments Ecosystem

63% of businesses currently accepting digital payments experience unreliable network connectivity, either sometimes (51.5%) or often (11.5%). Network-induced transaction failures erode trust.

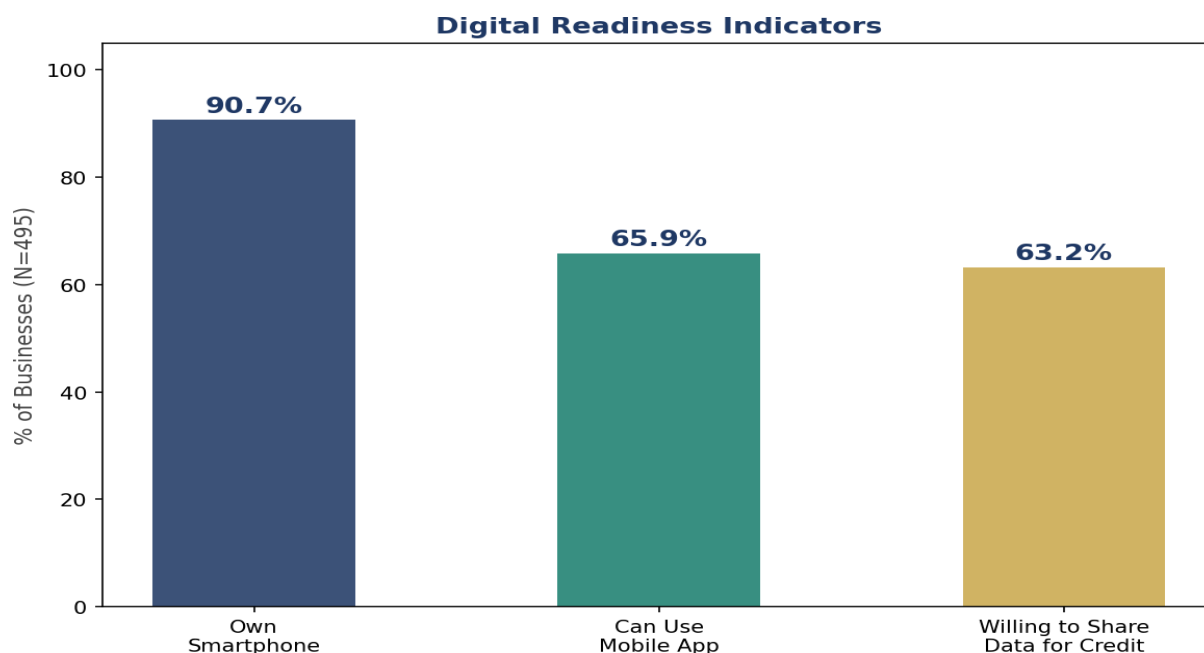
6. Digital Infrastructure and Readiness

Smartphone Ownership & App Capability

90.7% Own a Smartphone	65.9% Can Use a Mobile App	72.6% Willing to Share App Data for Credit
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Smartphone ownership is high, but only 65.9% can use a mobile app. The 24.8 percentage point gap shows the main barrier is digital skills, not access to smartphones.

Figure 6: Digital literacy and willingness



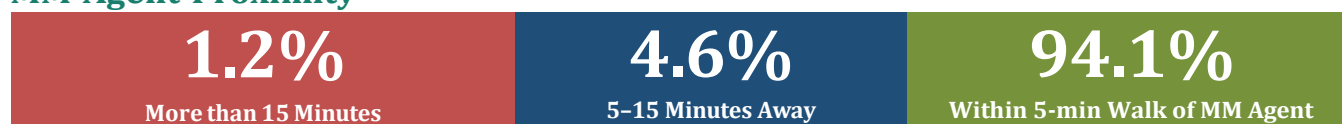
Willingness to Share Transaction Data for Credit Access

Sub-Group	Willing	Willingness Rate
All surveyed businesses	313	72.6%
Registered businesses	272	71.8%
Unregistered businesses	41	78.8%
Unbanked (no account of any kind)	105	58.3%
Non-record keepers	211	73.5%

Finding for FinTech, Credit Bureaus & Regulators

72.6% of businesses are willing to share mobile app transaction data to access loans, including 58.3% of the unbanked and 78.8% of unregistered firms. With 90.7% smartphone ownership and 65.9% app capability, conditions already exist for data-driven, collateral-free lending.

MM Agent Proximity



With 94.1% of businesses within a 5-minute walk of an MM agent, physical access to mobile money infrastructure is near-universal in Freetown. Barriers to mobile money adoption appear largely demand-side, awareness, trust, perceived utility, not supply-side infrastructure gaps.

The passive inbox patterns

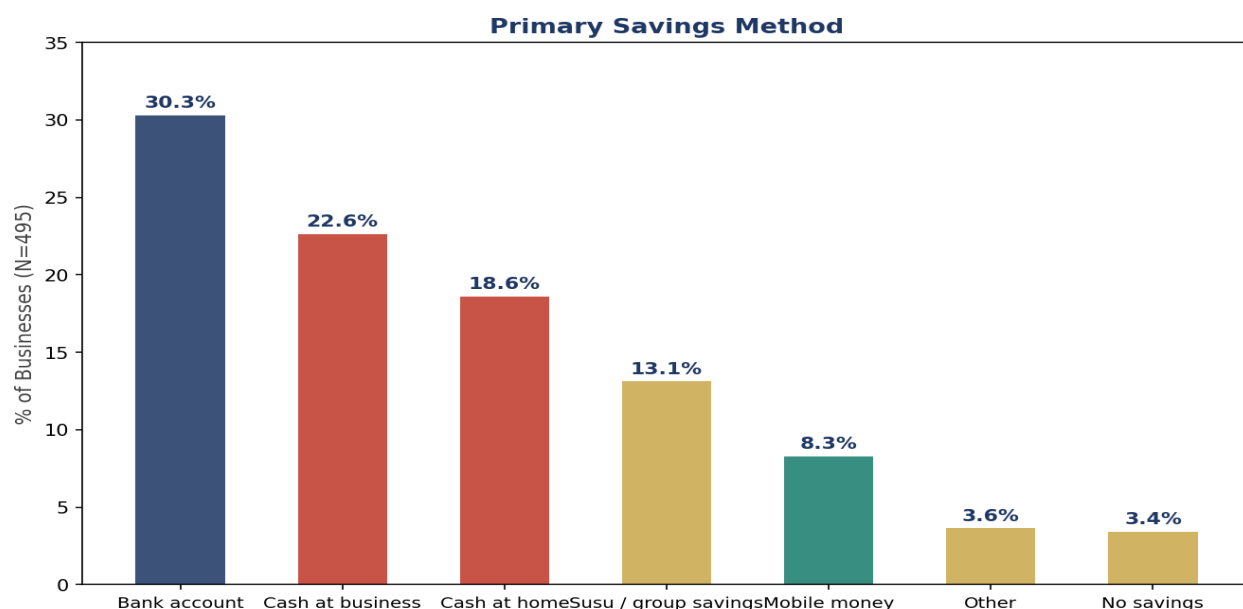
Businesses use mobile money mainly to receive payments. They accept it, but rarely use it actively in daily operations. The real shift is from passive receipt to active use, paying suppliers, paying workers, and managing liquidity digitally. That transition moves businesses from basic adoption to deeper financial integration. It also generates stronger transaction histories, which improve the quality of data available for credit and product development.

7. Savings Behavior

Primary Savings Method

Cash savings remain dominant: approximately 22.6% of businesses save primarily at the business and 18.6% at home. 7.5% use mobile money for savings, and a smaller share save through bank accounts. Susu and group savings arrangements are used by approximately 13.1% of businesses. The prevalence of informal cash savings represents both a financial security concern and an underutilized mobilization opportunity for formal savings products.

Figure 7: Distribution of Business Savings Across Different Mechanisms.



8. Credit Access & Lending Market Dynamics

12.4%

Rejection Rate

18.0%

Applied for a Loan (12m)

82.0%

Did Not Apply

Loan Sources

Lending Institution	% of Identified Sources
Microfinance institution (MFI)	60%
Commercial bank	36%
Other (informal / family)	4%

Market Share Opportunity

MFIs dominate the SME credit market despite commercial banks' superior balance sheet capacity and lower cost of funds. This is almost certainly driven by MFIs' lower collateral requirements and faster approval rate.

Loan Application Outcomes

Outcome	% of Applicants
Approved - received full amount requested	57.3%
Still waiting for decision	18.0%
Rejected	12.4%
Approved - received less than requested	11.2%
N/A	1.1%

Why Businesses Avoid Credit

Barrier Theme	% of Non-Applicants with Reason
Not interested / averse to debt	24%
High interest rates	19%
Prefer not to borrow (general aversion)	6%
Sales too slow / business not viable	15%
Fear / perceived stress of formal loans	12%
Not easily accessible	4%
No need at this time	13%

The Credit Paradox: Demand Suppression, Not Rejection

The primary barrier to credit uptake is self-exclusion. While debt avoidance remains the largest single factor, concerns over high interest rates and slow sales represent significant barriers. A notable share of non-applicants also cites fear or stress associated with formal loans.

Supplier Credit & Working Capital

Supplier Payment Mode	% of All
Buy upfront with own money (cash)	74%
Buy on credit from supplier (pay later)	12%
Combination of cash and credit	10%
Consignment / commission basis	2%

The overwhelming preference for cash-upfront purchasing signals a working capital constraint: businesses cannot access the supplier credit that would free up cash for growth. Among the businesses using supplier credit, repayment terms range from same-day to over 30 days, with most clustered in the 1–14-day window, indicating informal, trust-based credit rather than structured supplier financing.

Policy Note: Bank–Real Sector Credit Linkages

From a central banking perspective, the key issue is whether credit reaches productive businesses in the real economy. When lending is concentrated in consumer credit, import financing, or short-term activities, its impact on growth and enterprise development is limited.

High self-exclusion, reliance on MFIs, and limited bank lending to micro-enterprises in these corridors indicate a clear credit gap at the base of the real sector despite strong business activity in these areas. Expanding SME-focused lending windows, strengthening credit guarantee schemes, improving risk-sharing between the Bank of Sierra Leone and commercial banks, and linking credit to verified digital transaction records could help channel institutional credit toward productive small businesses.

9. Financial Management Practices and Literacy



Record Keeping by Business Characteristics

Sub-Group	Keep Records	Total	Rate
Registered businesses	199	432	46.1%
Unregistered businesses	9	63	14.3%
Accept digital payments	135	260	51.9%
Cash-only businesses	73	235	31.1%
All surveyed businesses	208	495	42.0%

Reason Businesses Don't Keep Records

Reason	Count	% of Non-Record Keepers
See no benefit to record keeping	125	43.7%
No time	86	30.1%
No knowledge of how to keep records	33	11.5%
Too many transactions	19	6.6%
Cannot read or write	13	4.5%
Mix personal and business money	11	3.8%
Lost record book	11	3.8%
Business works well without records	8	2.8%
Family withdrawals make it impossible	6	2.1%

Record-Keeping and Financial Management Gap

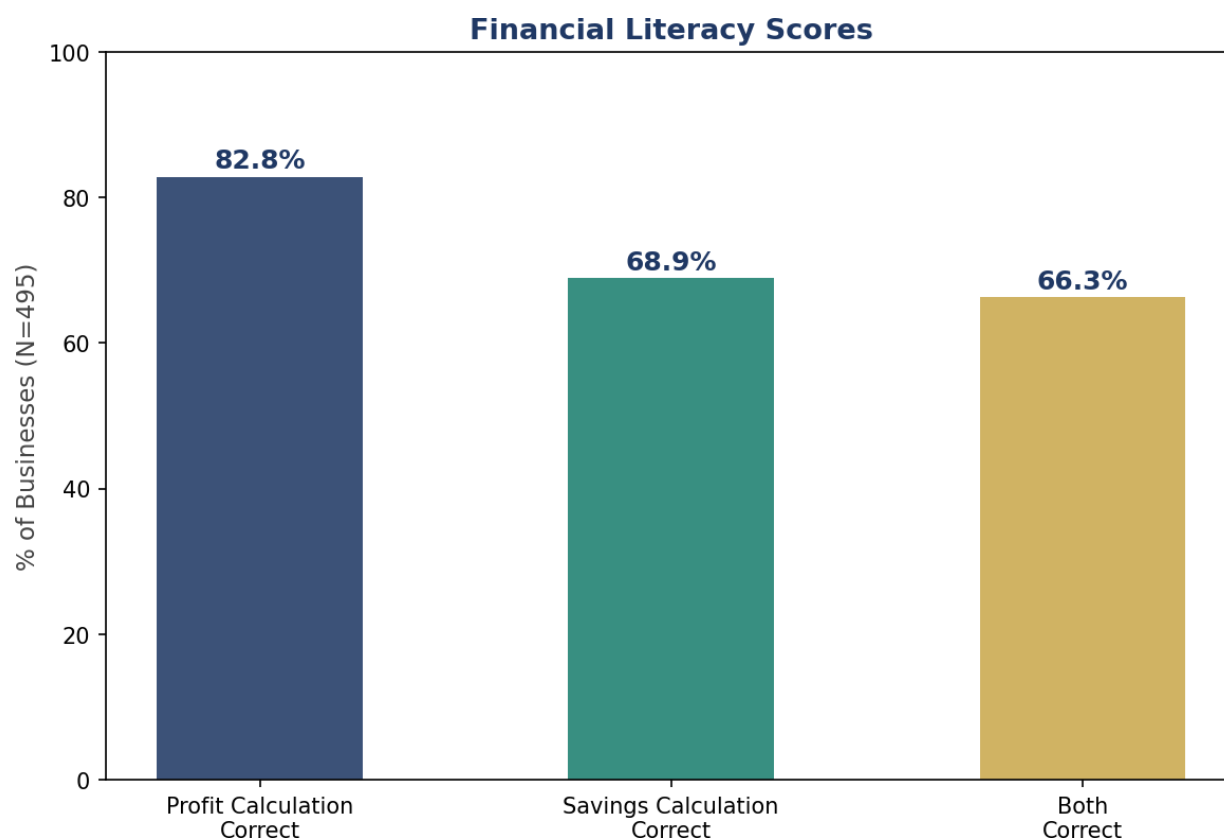
42.0% of businesses keep formal records. While 57.2% separate business and personal finances, 40.2% do not separate funds at all. Among non-record keepers, 43.7% see no benefit, while just 4.5% cite inability to read or write, indicating a perception and awareness gap rather than a literacy barrier. The results point to a gap between financial knowledge and consistent financial practices.

Financial Literacy

82.8% and 68.9% correctly calculated business profit and monthly savings, respectively, from a standard test scenario. These results indicate relatively strong basic financial literacy among corridor businesses.

For context, the UNCDF National Digital and Financial Literacy Baseline Survey for Sierra Leone reports an overall national financial literacy score of 60.1 out of 100. While the measures are not identical, the corridor businesses in this survey appear to perform above the national baseline, likely reflecting the effect of active commercial engagement.

Figure 8: Financial Knowledge: Based on Profit and Savings Calculations.



The knowledge-practice gap

The divergence between strong financial literacy and low record-keeping suggests the barrier is habit formation and incentive rather than comprehension. Digital tools that automate record creation, such as MM transaction histories serving as implicit business records, may close this gap faster than traditional financial literacy training, because they reduce the behaviour change required.

10. The CAFIA Digital Finance Inclusion Index

The CAFIA Digital Finance Inclusion Index (CDFI Index) is a composite measure that aggregates key dimensions of financial inclusion into a single score (0–100). Consistent with global approaches, CAFIA recognizes that financial inclusion is multi-dimensional, extending beyond access to include usage, financial behaviour, and credit.

The index is designed for annual replication and is constructed from survey-derived variables grouped into four dimensions: access, usage, financial behaviour, and credit. Variables were standardized to ensure comparability, aggregated within each dimension, and combined into the overall index using an additive structure with equal weighting.

Index calculation:

$$\text{CAFIA Index} = \frac{\text{Access} + \text{Usage} + \text{Quality} + \text{Capability}}{4} \times 100$$

4

Index Methodology

Construction: Each pillar score = arithmetic mean of its binary (0/1) components. Four pillars weighted equally at 25% each. CAFIA Index = (Access + Usage + Quality + Capability) ÷ 4 × 100.

Missing values: Averaged over available components only, a missing variable is excluded from the pillar denominator, not treated as zero.

Weighting: Equal weights ensure full transparency and independent auditability of every component by any stakeholder.

Index Architecture

Pillar	Weight	Vars	Components
ACCESS - Structural Reach	25%	4	Has formal account · Owns smartphone · MM agent ≤15 min · Can use mobile app
USAGE - Active Engagement	25%	4	Accepts digital payments · MM to receive business payments · MM for savings · MM for outbound payments (suppliers/workers)
QUALITY - Reliability & Trust	25%	3	Network always reliable · No fraud/mistake fear as barrier · No fee barrier
CAPABILITY - Financial Management	25%	4	Keeps business records · Separates business & personal money · Profit calculation correct · Savings calculation correct

Classification Bands

Score	Category	Operational Definition
0–25	Financially Excluded	No meaningful structural access or active use. Cash-only, minimal capability.
26–50	Emerging	Structural access present but digital tools not yet integrated into business operation.
51–75	Integrated	Core digital tools in active use. Above-baseline capability. Constraints persist.

76-100	Digitally Advanced	Deep multi-pillar integration. Structural, behavioural, dimensions all functioning.
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Overall Index Results (N = 495)

61.7	62.5	15.7	93.8
Mean CAFIA Index	Median Score	Std. Deviation	Maximum Score
<i>Band: Integrated (51-75)</i>	<i>Near-symmetric distribution</i>	<i>Meaningful spread across sample</i>	<i>Best-practice frontier businesses</i>

Figure 9: Distribution of CAFIA Index scores (N=495). Bell-shaped distribution centred at 61.7.

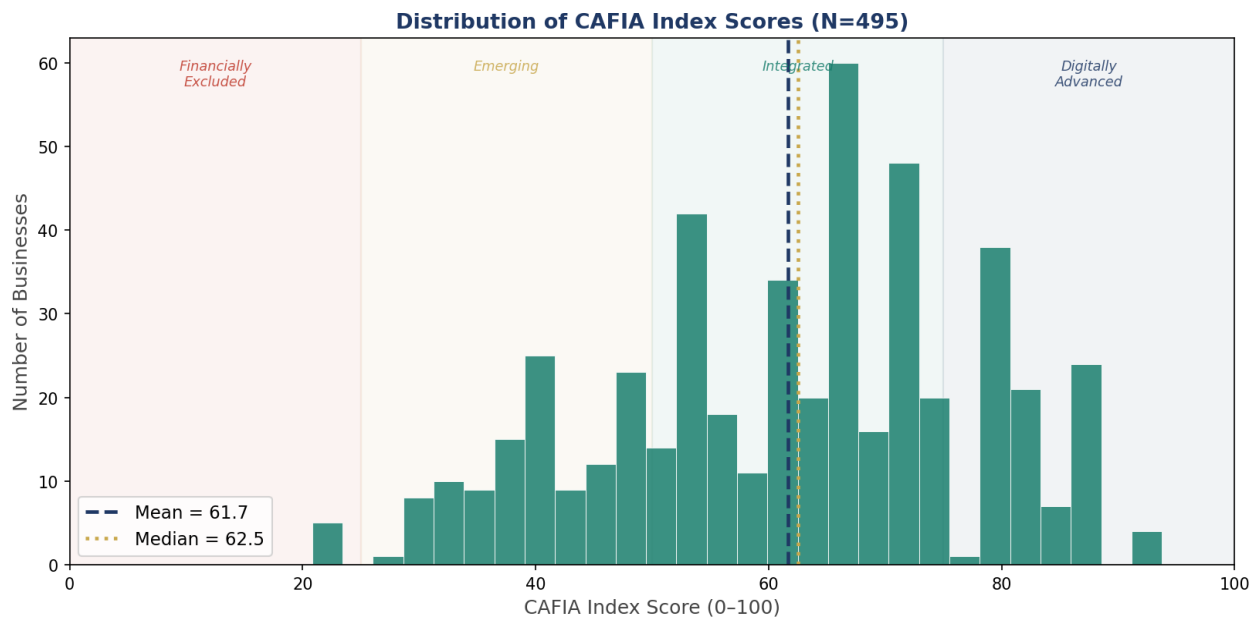
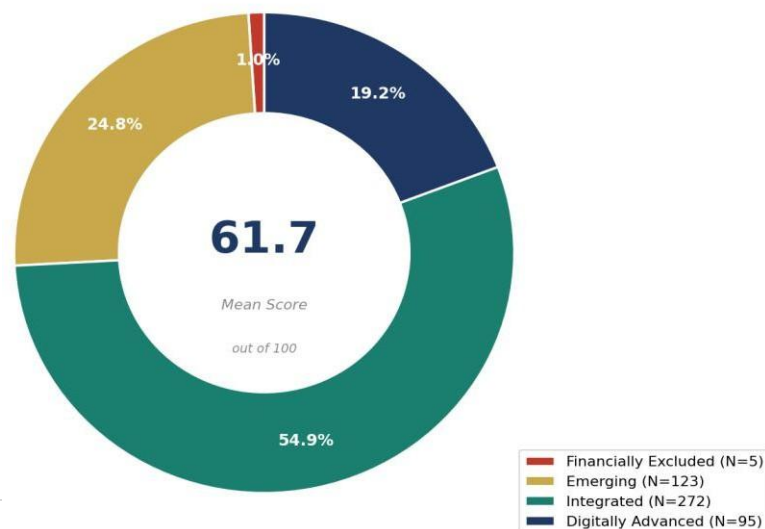


Figure 10: CAFIA Index classification (N=495). 54.9% Integrated; 19.2% Digitally Advanced; 24.8% Emerging.

CAFIA Index: Classification of 495 Freetown SMEs

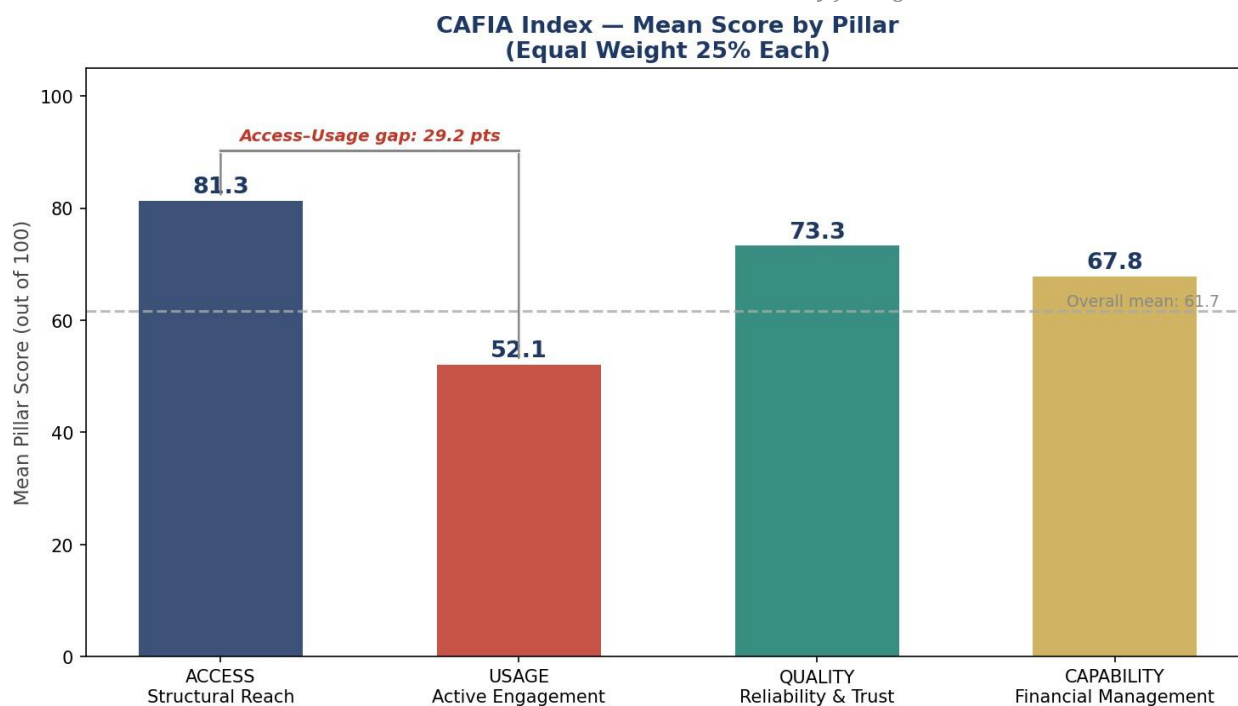


The central finding: reached but not transformed

A mean score of 61.7 places Freetown's SME ecosystem in the mid-Integrated range: connected to digital finance with core tools in use, but not yet fully embedded across all pillars. Financial exclusion is minimal, reflecting high smartphone ownership and agent proximity. However, minimum balance requirements remain a barrier for many businesses. The upper score limit of 93.8 suggests even the most integrated firms face constraints such as network reliability, product design gaps, and limited access to affordable credit.

Pillar Scores

Figure 11: Mean score by pillar (equal weight 25%). Usage (52.1) trails Access (81.3) by 29.2 points, the critical gap. Quality (73.3) is consistent with the 64.0% network unreliability finding.

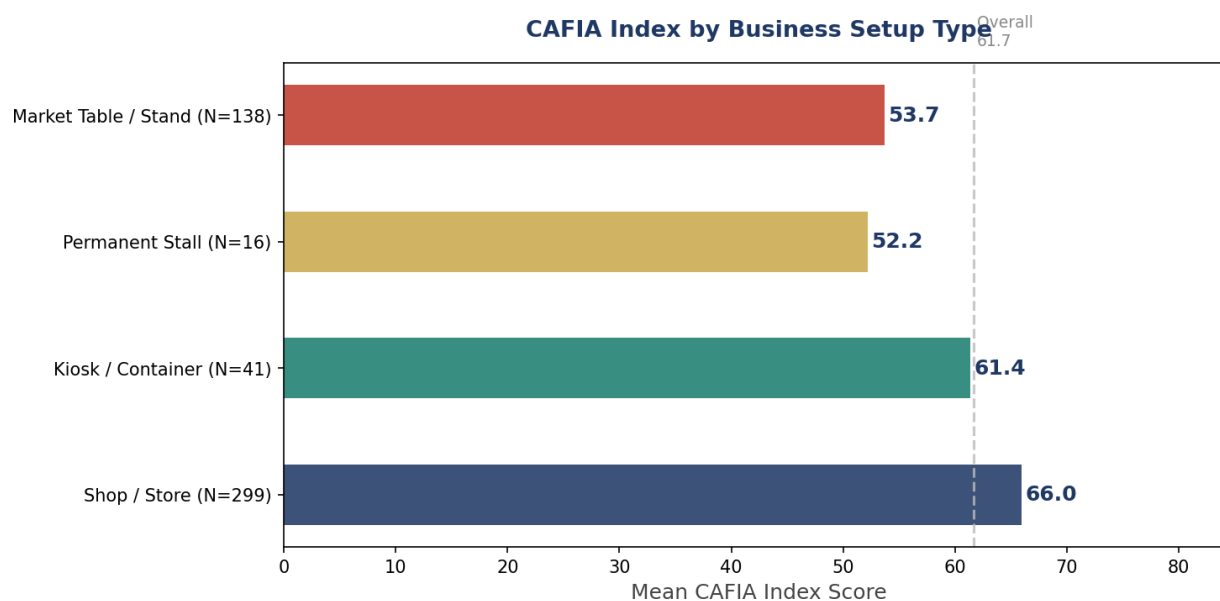


Pillar	Score	Interpretation
Access	81.3	Near-universal smartphone and agent proximity anchor this pillar. The 36.4% unbanked is the primary drag.
Usage	52.1	Businesses receive MM payments but outbound digital use is near-absent. MM functions as a passive receipt channel. Note: MM receipt includes personal-wallet transactions informally used for business.
Quality	73.3	Consistent with 64.0% network unreliability. Trust barriers among non-adopters, fraud fear and fee concerns, compound the connectivity constraint.
Capability	67.8	Strong financial literacy (82.8% profit correct) drives this pillar. Record-keeping (42.0%) and money separation (57.2%) are the primary drags.

Pillar	Score	Interpretation
Policy implication: the constraint is behavioural, not infrastructural Access (81.3) scores 29.2 points higher than Usage (52.1). Infrastructure is not the main constraint. The priority is demand activation, shifting from access to transaction-based use, including accepting digital payments in local markets, paying suppliers and workers digitally, and managing business liquidity through formal channels.		

Index by Business Setup Type

Figure 12: Mean CAFIA Index by setup type. Shops (66.0) score 12.3 points above market tables (53.7). The gap is driven by Usage pillar differences, not financial literacy.

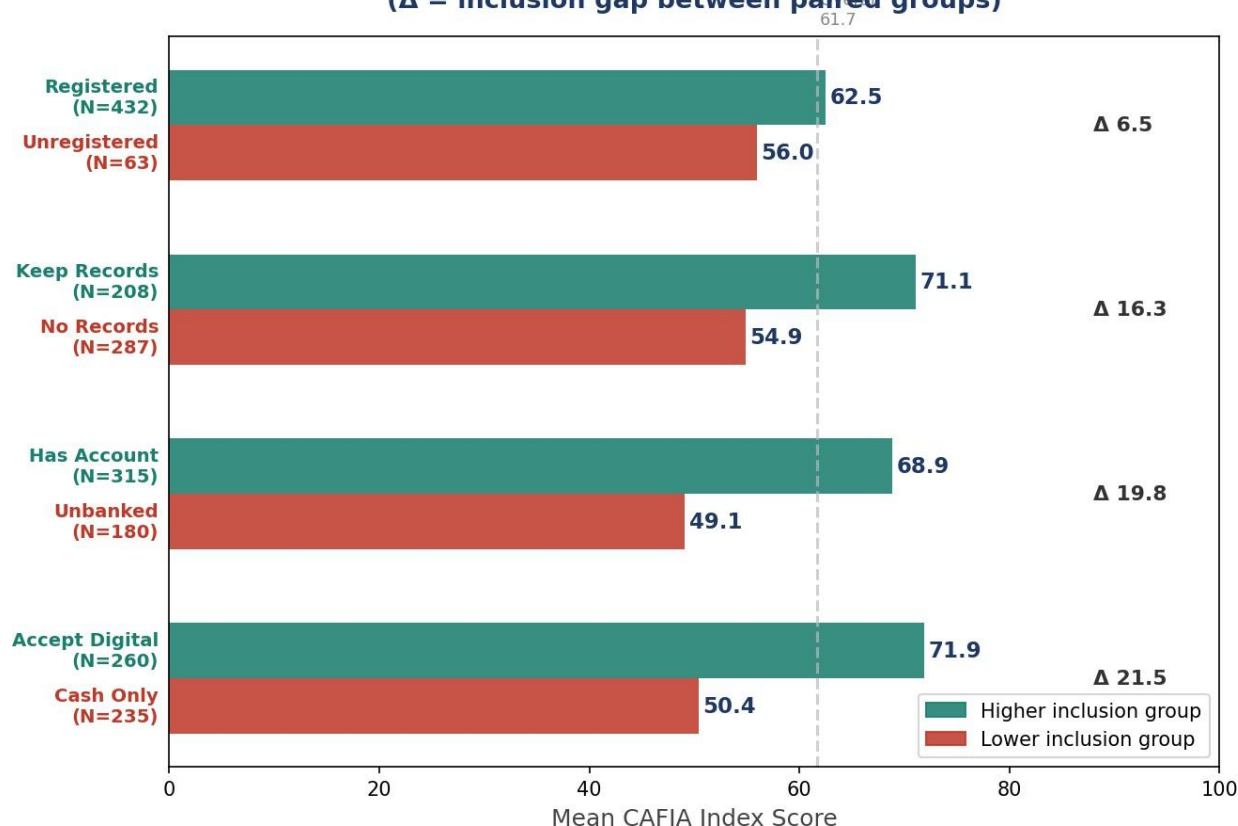


Setup Type	N	Mean	% Digitally Advanced	% Integrated	% Emerging
Shop / Store	299	66.0	21.7%	61.9%	16.1%
Kiosk / Container	41	61.4	14.6%	58.5%	26.8%
Permanent Market Stall	16	52.2	6.3%	50.0%	43.8%
Market Table / Stand	138	53.7	8.7%	42.0%	46.4%

Sub-Group Gap Analysis

Figure 13: Sub-group gap analysis. Largest gap: digital adopters vs. cash-only businesses (21.5 pts). Account ownership gap: 19.8 pts. Record-keeping gap: 16.2 pts.

CAFIA Index — Sub-Group Gap Analysis
(Δ = inclusion gap between paired groups)



Comparison	Higher Group	Lower Group	Gap (Δ)
Digital payment acceptance	Accept digital (N=260): 71.9	Cash only (N=235): 50.4	21.5 pts
Account ownership	Has account (N=315): 68.9	Unbanked (N=180): 49.1	19.8 pts
Record keeping	Keep records (N=208): 71.1	No records (N=287): 54.9	16.2 pts
Setup type	Shop (N=299): 66.0	Market Table (N=138): 53.7	12.3 pts
Registration	Registered (N=432): 62.5	Unregistered (N=63): 56.0	6.5 pts

CAFIA Index Summary Scoreboard

Metric	Value	Strategic Reading
Overall mean	61.7 / 100	Mid-Integrated - connected but not transformed
Median	62.5	Approximately symmetric distribution
Score range	20.8 – 93.8	Full spectrum present
Financially Excluded (0–25)	5 (1.0%)	Near-absent - near-universal infrastructure base
Emerging (26–50)	123 (24.8%)	Priority activation target - 1 in 4 businesses
Integrated (51–75)	272 (54.9%)	Core majority - deepen Usage and Capability
Digitally Advanced (76–100)	95 (19.2%)	Potential ecosystem champions
Weakest pillar	Usage: 52.1	Demand activation is the highest-leverage intervention
Strongest pillar	Access: 81.3	Infrastructure is not the constraint
Largest sub-group gap	21.5 pts	Digital adopters vs. cash-only
Setup-type gap	12.3 pts	Shops vs. Market Tables - gender dimension

The CAFIA Index as a recurring benchmarking instrument

Repeating this survey annually will allow CAFIA to track progress, assess the impact of interventions, for example, merchant digitisation should be reflected in higher Usage scores, and monitor whether setup-type and account-access gaps are narrowing. The index is not only a research output. It is a measurement framework that measures success and supports policy accountability over time.

11. Policy and Market Recommendations

The following recommendations are directed to four stakeholder groups: commercial banks and mobile network operators, financial regulators and government agencies, development finance institutions and donors, and CAFIA. They draw directly from the survey findings and the CAFIA Index results.

For Commercial Banks and Mobile Network Operators

Introduce zero- or low-balance business accounts: Minimum balance requirements remain a major barrier for small businesses. Low- or zero-balance accounts with simplified onboarding could expand inclusion without new infrastructure

Develop dedicated business mobile money accounts: Many businesses use personal wallets for business transactions. Dedicated business accounts, with basic bookkeeping and transaction labelling, would improve financial visibility and strengthen credit assessment.

Build savings features into mobile money flows: Businesses already receive digital payments. Embedding simple savings options within those payment flows would encourage routine saving and improve financial stability

Prioritise merchant digitisation in food retail: Food retail remains one of the largest and least digitally integrated sectors. Focused merchant support in this segment would generate meaningful gains in digital transaction volume.

**For Financial
Regulators and
Government
Agencies**

Improve credit affordability and real sector lending: High borrowing costs and rigid repayment structures discourage small businesses from seeking formal credit. Risk-sharing facilities, partial credit guarantees, and dedicated SME lending windows can help channel bank and MFI credit into productive enterprise rather than short-term or non-productive uses.

Simplify tax registration for micro-enterprises: Most corridor businesses operate formally at the municipal level but remain outside the national tax system. A simplified, low-burden registration pathway, with clear benefits and minimal compliance friction, would expand formal participation without overloading small businesses.

Strengthen mobile money oversight and interoperability: As mobile money balances grow, regulatory attention to e-money float management, interoperability, and prudential safeguards will be increasingly important to protect financial stability.

Support network reliability in commercial corridors. Digital finance cannot deepen without reliable connectivity. Telecommunications standards and regulatory incentives that improve network quality in trading areas are essential to sustaining digital payment adoption.

**For
Development
Finance
Institutions
and Donors**

Fund bundled interventions, not single actions: Many small businesses face overlapping barriers, limited access, weak records, and cash-based operations. Isolated interventions are unlikely to create lasting change. Programmes that combine account access, merchant digitisation, and basic financial management support will have greater impact.

Target by business setup, not gender alone: Market table operators remain among the least financially integrated, and most are women. Targeting by setup type provides more precise and cost-effective outreach than broad gender-based programming. Engagement should work through market committees, trader associations, and peer networks.

Support annual CAFIA Index measurement: Lasting progress requires consistent tracking. Annual replication of the CAFIA Index will allow stakeholders to measure whether interventions are strengthening financial integration over time.

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Appendix A: Full Statistical Tables

Account Ownership Summary (N=495)

Account Type	Count	% of N=495
Personal Bank Account	187	37.8%
Business Bank Account	156	31.5%
Mobile Money Account (formal account)	83	16.8%
Cooperative Account	0	0.0%
Microfinance (MFI) Account	0	0.0%
No Account (Unbanked)	180	36.4%
Any Account (Banked)	315	63.6%

Barriers to Account Ownership (N=180, unbanked businesses only)

Barrier	Count	% of N=180
Insufficient funds for minimum balance	92	51.1%
Prefer cash	72	40.0%
Lack of required documentation	14	7.8%
No trust in financial institutions	1	0.6%
Distance to nearest branch	1	0.6%

Mobile Money Usage Summary (N=495)

MM Usage Purpose	Count	% of N=495
Receive business payments (personal or business wallet)	257	51.9%
Personal use	289	58.4%
Save money	37	7.5%
Pay suppliers	18	3.6%
Pay workers	5	1.0%
Not used at all	106	21.4%
Formal MM account held	83	16.8%

Credit Access Summary

Metric	Value	Base
Applied for credit (past 12 months)	89 (18.0%)	N=495
Did not apply	406 (82.0%)	N=495
Applied from MFI	34 (38.2% of applicants)	N=89
Applied from commercial bank	20 (22.5% of applicants)	N=89
Application approved (full)	51 (57.3%)	N=89
Application rejected	11 (12.4%)	N=89
MFI account ownership	0 (0.0%)	N=495

CAFIA Index Summary Statistics (N=495)

Statistic	Value
Mean	61.7
Median	62.5
Minimum	20.8
Maximum	93.8
Standard Deviation	15.7
Q25	50.0
Q75	72.9
Financially Excluded (0–25)	5 (1.0%)
Emerging (26–50)	123 (24.8%)
Integrated (51–75)	272 (54.9%)
Digitally Advanced (76–100)	95 (19.2%)
Access pillar mean	81.3
Usage pillar mean	52.1
Quality pillar mean	73.3
Capability pillar mean	67.8

CAFIA Index by Sub-Group (N=495)

Sub-Group	N	Mean Index	SD
All businesses	495	61.7	15.7
Accept digital payments	260	71.9	12.1
Cash only	235	50.4	13.8
Has formal account	315	68.9	13.2
Unbanked	180	49.1	13.6
Keep records	208	71.1	13.5
Do not keep records	287	54.9	14.6
Registered	432	62.5	15.5
Unregistered	63	56.0	16.1
Shop / Store	299	66.0	14.2
Kiosk / Container	41	61.4	13.8
Permanent Market Stall	16	52.2	15.3
Market Table / Stand	138	53.7	14.9
Revenue: Much lower	48	55.0	15.4
Revenue: About the same	74	62.3	15.2
Revenue: Much higher	44	62.1	14.8